

Foundations

Year 1 and 2: double entry, the ledger and year-end adjustments.

Goldman Snacks

Summary sheet

The accounting equation

- **Assets = liabilities + capital.** Every transaction keeps both sides equal.
- Capital = opening capital + profit – drawings.
- Profit increases capital; drawings and losses reduce it.

Debits, credits and account types

- **DEAD CLIC:** Debit Expenses, Assets, Drawings; Credit Liabilities, Income, Capital.
- Every entry has an equal debit and credit.
- An account's normal balance is on the side that increases it.

Journal entries

- List the debit first, then the credit, indented, with a short narrative.
- Used for things that don't go through day books: corrections, depreciation, accruals, disposals.
- Totals of debits and credits must agree.

T-accounts and balancing off

- Debits on the left, credits on the right.
- Balance c/d on the smaller side so both sides total the same; bring it down (b/d) on the other side.
- A debit balance b/d is an asset or expense; a credit balance is a liability, income or capital.

Trial balance

- A list of every ledger balance: debits in one column, credits in the other; totals should agree.
- It won't find errors of omission, commission, principle, original entry, reversal or compensating errors.
- A difference goes to a suspense account until the error is found.

Accruals and prepayments

- **Accrual:** expense incurred but not yet paid. Add to the expense; show as a current liability.
- **Prepayment:** paid in advance for next year. Deduct from the expense; show as a current asset.
- Accrued income is an asset; deferred income is a liability.

Depreciation and disposals

- Straight line = $(\text{cost} - \text{residual value}) \div \text{useful life}$.
- Reducing balance = $\text{carrying amount} \times \text{rate}$.
- Disposal: profit or loss = $\text{proceeds} - \text{carrying amount at the date of sale}$.

Income statement

- Revenue – cost of sales = gross profit.
- Cost of sales = $\text{opening inventory} + \text{purchases} - \text{closing inventory}$.
- Gross profit – expenses + other income = net profit.

Statement of financial position

- Non-current assets at carrying amount, then current assets.
- Current liabilities are due within 12 months; non-current after.
- Capital section: $\text{opening capital} + \text{profit} - \text{drawings} = \text{closing capital}$.

Partnerships

- The appropriation account shares profit: salaries and interest on capital first, then the residual in the profit-sharing ratio.
- Interest on drawings is charged to partners and added back to profit available.
- Capital accounts are fixed; current accounts take each year's share of profit and drawings.

Incomplete records

- Opening capital = $\text{opening assets} - \text{opening liabilities}$.
- Rebuild sales and purchases from control accounts: e.g. sales = $\text{cash received} + \text{closing receivables} - \text{opening receivables}$.
- Use mark-up (on cost) or margin (on sales) to find missing figures such as stolen inventory.